Fikile Mkhize 0210210785080

Question 6

This report presents a comparative analysis of the economies of South Africa and Zimbabwe based on a key macroeconomic performance metrics for 2026.

Exchange rates

The South African rand is highly liquid and integrated into global financial networks. It responds dynamically to international market forces and commodity values while in Zimbabwe; the introduction of Zimbabwe Gold (ZiG) currency in 2024 has successfully brought stability to exchange values by linking the local currency directly to physical gold and cash reserves.

Repo rates

South Africa: SARB maintains a conservative stance at 7% to combat rising transport and electricity input cost.

Zimbabwe: While the Reserve Bank of Zimbabwe slashed down to 30% as hyperinflation receded, borrowing costs remains significantly higher than South Africa's to deter currency speculation.

Inflation

Both nations are currently sitting at remarkably similar headline inflation numbers (4,5% vs 4,7%). This is a monumental shift for Zimbabwe, which traditionally experienced severe hyperinflation cycles before structural currency adjustments.

Balance of payments

South Africa runs a massive, diversified trade portfolio driven by mining mostly platinum and gold; and industrial manufacturing.

Zimbabwe relies heavily on raw tobacco, gold and ferroalloys. Its balance of payments has improved due to strict fiscal control and rising international mineral demands.

Unemployment

South Africa experiences deep structural unemployment (32.7%).

Zimbabwe reports a lower official unemployment statistic (9.4%), though this masks a massive informal economy where a majority of the active population works outside regulated structures.